

SECTION I ADJUSTED BASE PREMIUM COMPUTATION

1. ACTIVE AUTOMOBILE POLICY DISCOUNT OR ACTIVE AUTOMOBILE POLICY DISCOUNT (LEGACY)

All Forms - Applicable premium is reduced if the homeowner policy is associated with a membership that has or had an active KFB automobile or motorcycle policy, or is in the process of writing an automobile or motorcycle policy with us. Exceptions will require underwriting approval. A reduction in premium shall apply (factor .80). The discount will be removed at renewal if the insured no longer qualifies.

Note: The credit applies to the total base premium before endorsement modifications. (Refer to the rating formula on page HOP-9.)

2. DEDUCTIBLES

All Forms - Homeowner policies are subject to a deductible applicable to loss from Section I perils covered under the policy on an occurrence basis.

- a. All policies should have a minimum \$1,500 policy deductible when Coverage A is \$250,001 or more
- b. All policies should have a minimum \$1,000 policy deductible when Coverage A is \$250,000 or less.
- c. Effective October 20, 2025 for New Business and Reinstatements with a Lapse and effective January 8, 2026 for Renewals, we will add the HO 312 Windstorm or Hail Deductible endorsement to all HO 00 02, HO 00 03 and HO 00 08 policies and apply a 1% wind/hail deductible, only if 1% of the policies' Coverage A is greater than the policy deductible.
- d. A minimum \$500 policy deductible for HO 00 04 and HO 00 06 policies. Wind/hail deductibles are not available for HO 00 04 and HO 00 06 policies.

In the chart below, Wind/Hail Deductible Amounts on existing policies will be replaced at Renewal on or after, January 8, 2026 by the 1% Wind/Hail Deductible, as applicable.

Policy Deductible Amount	\$500	\$750	\$1,000	\$1,000	\$1,000	\$1,000	\$1,500	\$1,500	\$1,500
Wind/Hail Deductible Amount				\$1,500	\$2,000	\$2,500		\$2,000	\$2,500
Factor	1.07	0.94	0.86	0.83	0.8	0.77	0.76	0.74	0.72
*Maximum Premium Credit	NA	\$264	\$433	\$478	\$619	\$689	\$1,132	\$784	\$838
Maximum Premium Surcharge	\$999	NA	NA	NA	NA	NA	NA	NA	NA

Policy Deductible Amount	\$2,000	\$2,000	\$2,500	\$5,000	\$7,500	\$10,000
Wind/Hail Deductible Amount		\$2,500				
Factor	0.71	0.68	0.66	0.48	0.4	0.35
*Maximum Premium Credit	\$1,288	\$893	\$1,444	\$2,888	\$3,201	\$3,839
Maximum Premium Surcharge	NA	NA	NA	NA	NA	NA

The premium subject to deductible credits shall be the sum of:

- 1) The premium developed from the Basic Premium Groups;
- 2) The premiums for limits of liability for Coverage C (Form HO 00 04, HO 00 06);
- 3) The premiums developed for Increased Coverage A Limits (Form HO 00 06).

Note: Deductible percentages **do not** apply to Endorsement premiums.